Bank Fee Index

BANKING FEE INTELLIGENCE

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I'm unable to trigger the automated report generation system at this time. Instead, I'll compile a comprehensive formal report using the data already gathered.

Kansas Fee Landscape Analysis: Overdraft Pricing and Consumer-Friendly Positioning

Bank Fee Index Strategic Intelligence Report Date: April 8, 2026 **Geographic Scope:** Kansas (Federal Reserve District 10) **Analysis Period:** Q4 2025

Executive Summary

Kansas overdraft fee pricing exhibits structural commoditization while national service charge revenue contracts, forcing institutions to choose between fee elimination, aggressive discounting, or revenue diversification. The state's 251 institutions publish 2,310 fees across 385 categories, yet only 61 institutions (24%) disclose overdraft pricing. The median Kansas overdraft fee of $28.00 matches the national median precisely, with a narrow interquartile range of $25.00 to $30.00 indicating pricing convergence rather than competitive differentiation.

Three institutions demonstrate consumer-friendly positioning through material fee reduction or elimination: nbkc bank operates with zero overdraft fees and three total published fees, Capitol Federal Savings Bank charges $12.00 overdraft fees (57% below state median) with a $30.00 waiver threshold, and Mazuma Federal Credit Union maintains minimal fee disclosure. These strategies position each institution to capture deposit market share as regulatory pressure on overdraft revenue intensifies.

National service charge income declined to $5.7 billion in Q4 2025, down from $5.7 billion in Q3 2025, while overdraft fees rank tenth in institutional prevalence (47.6% of institutions) but contribute only 3.9% of total fee dollar volume. Kansas institutions face immediate strategic decisions: maintain commoditized pricing and accept margin erosion, eliminate overdraft fees to drive deposit growth, or restructure fee schedules into differentiated service bundles.

I. Kansas Overdraft Market Structure

Pricing Distribution and Competitive Dynamics

Kansas overdraft fees cluster within a $5.00 range — $25.00 at the 25th percentile to $30.00 at the 75th percentile — with 64% of reporting institutions pricing within $2.00 of the $28.00 median. This tight distribution eliminates pricing as a differentiation lever for most institutions. The state's bank-credit union pricing gap of $2.00 (banks at $30.00, credit unions at $28.00) represents a 7.1% differential, narrower than the national gap of 11.1%, suggesting reduced charter-type polarization relative to peer states.

Overdraft Fee Distribution (Kansas)

STATISTIC	AMOUNT	INSTITUTIONS
Median	$28.00	61
25th Percentile	$25.00	—
75th Percentile	$30.00	—
Minimum	$1.00	—
Maximum	$40.00	—
Banks (Median)	$30.00	39
Credit Unions (Median)	$28.00	22

The state's 55 institutions publishing overdraft fees represent 22% of Kansas's 251 total institutions, below the national disclosure rate of 47.6%. The remaining 196 institutions either charge no overdraft fees, employ forbearance policies, or fail to publish consumer-facing schedules. This 78% non-disclosure cohort includes large institutions such as Equity Bank ($6.4 billion assets, three fees published), KS StateBank ($2.7 billion assets, three fees), and Dream First Bank ($892 million assets, two fees).

Revenue Context: National Service Charge Trends

Service charge revenue — the primary category containing overdraft and NSF fees — totaled $5.7 billion nationally in Q4 2025 across 7,950 institutions. Credit unions contributed $10.1 million while banks generated $5.7 billion, illustrating the revenue concentration in bank-charter overdraft programs. Kansas institutions operating overdraft programs must account for secular revenue decline: overdraft fees rank tenth in institutional

prevalence nationally but contribute only 3.9% of total fee dollar volume, indicating low per-institution revenue despite high adoption.

National Service Charge Revenue Trend (Quarterly)

QUARTER	TOTAL REVENUE	BANK REVENUE	CU REVENUE	INSTITUTIONS
2025-Q4	$5.72B	$5.71B	$10.1M	7,950
2025-Q3	$5.73B	$5.73B	$0.0M	4,169
2025-Q2	$5.66B	$5.66B	$0.0M	4,162
2025-Q1	$5.54B	$5.54B	$0.0M	4,166

The flat-to-declining trend across four quarters — revenue rose 3.2% from Q1 to Q4 but declined 0.2% from Q3 to Q4 — signals either volume contraction, fee reductions, or forbearance policies taking hold across the industry. Kansas institutions charging above-median overdraft fees ($30.00+) face heightened risk: pricing power erodes while regulatory scrutiny intensifies.

II. Consumer-Friendly Institution Profiles

Category A: Fee Elimination Strategy

nbkc bank (Leawood, $1.2 billion assets, community_large tier) operates the most consumer-friendly fee schedule in Kansas, publishing only three fees across all categories. The institution charges **zero overdraft fees, zero NSF fees, and zero monthly maintenance fees**, positioning itself as a fee-free deposit alternative. The published fee schedule includes:

- Domestic wire transfer (outgoing): $5.00 (75% below Kansas median of $20.00)
- International wire transfer: $45.00 (10% below Kansas median of $50.00)
- ATM fee reimbursement: Up to $12.00 monthly for non-nbkc ATM usage

This strategy sacrifices short-term fee revenue to drive deposit growth and customer acquisition. The bank's elimination of overdraft fees removes a $28.00 median revenue stream per occurrence, yet avoids regulatory risk and positions nbkc to capture consumers seeking transparent, low-fee banking. The domestic wire fee of $5.00 undercuts the Kansas median by $15.00, a 75% discount that signals operational efficiency or strategic loss-leader pricing.

Strategic Implication: nbkc's model depends on deposit volume growth and interchange revenue to offset foregone fee income. Institutions considering fee elimination must restructure revenue models around net interest margin, interchange, and deposit-driven lending rather than transaction fees.

Category B: Aggressive Discounting with Consumer Protections

Capitol Federal Savings Bank (Topeka, $9.8 billion assets, community_large tier) charges $12.00 for overdraft fees, 57% below the Kansas median of $28.00 and 60% below the bank-charter median of $30.00. The institution layers three consumer-friendly policies onto this discounted pricing:

1. **Waiver threshold:** Overdraft fees waived when overdraft amount ≤ $30.00
2. **Daily cap:** Maximum 10 overdraft fees per business day ($120.00 maximum daily exposure)
3. **Overdraft protection transfer:** $2.00 fee to transfer from linked savings/checking/money market accounts

The $30.00 waiver threshold eliminates fees for minor overdrafts — transactions involving coffee purchases, subscription renewals, or small incidental debits — while the 10-fee daily cap prevents runaway fee accumulation. The $2.00 overdraft protection transfer fee sits 80% below the Kansas median overdraft fee, incentivizing consumers to link accounts for automatic coverage.

Strategic Implication: Capitol Federal's model balances consumer protection with revenue preservation. The $12.00 fee generates 43% of median Kansas overdraft revenue per occurrence, yet the waiver threshold and daily cap limit total revenue while reducing regulatory and reputational risk. Institutions serving price-sensitive demographics should model revenue impact of similar thresholds and caps.

Category C: Minimal Disclosure and Simplified Schedules

Mazuma Federal Credit Union (Overland Park, $1.0 billion assets, community_large tier) publishes three fees without disclosing specific overdraft or NSF dollar amounts. The fee schedule lists:

- Overdraft fee: Amount "disclosed elsewhere in document" (not published in public schedule)
- NSF fee: Amount "disclosed elsewhere in document" (not published in public schedule)
- Low balance fee: Charged if average daily balance < $2,500 on Business Checking Plus

This minimal disclosure strategy suggests either forbearance policies, member-specific pricing, or incomplete public documentation. The absence of published overdraft amounts prevents comparison shopping but may indicate reduced reliance on overdraft revenue. Credit unions with member-centric governance structures often employ case-by-case fee waivers rather than rigid pricing, reducing fee revenue but enhancing member satisfaction and retention.

Mainstreet Federal Credit Union (Lenexa, $694 million assets, community_mid tier) charges $27.50 for overdraft fees, 2% below the Kansas median and 8% below the bank-charter median. The institution publishes 27 fees, including:

- Overdraft fee: $27.50 (2% below Kansas median)
- Stop payment (single item): $25.00 (matches Kansas median)
- Stop payment (series): $35.00 (40% above median)
- Wire transfer (domestic outgoing): $25.00 (25% above Kansas median)

Mainstreet's pricing clusters near Kansas medians across most categories, offering modest discounts on high-frequency fees (overdraft) while charging premiums on low-frequency, high-value services (stop payment series, wire transfers). This blended approach maintains revenue while signaling consumer-friendliness on the most visible fee categories.

III. Strategic Positioning Options for Kansas Institutions

Option 1: Fee Elimination (nbkc Model)

Target segment: Millennials, Gen Z, digitally native consumers seeking transparent banking **Revenue model:** Interchange, net interest margin, deposit-driven lending **Risk profile:** High short-term revenue loss, long-term deposit growth dependency

Kansas institutions adopting fee elimination must replace $28.00 median overdraft revenue per occurrence with interchange income (estimated $0.50–$2.00 per debit transaction) and net interest margin on deposit balances. A consumer generating 10 overdraft fees annually ($280 revenue) requires either:

- 140–560 debit transactions annually to match fee revenue via interchange, or
- $15,000–$20,000 average deposit balance generating 1.5%–2.0% net interest margin

Fee elimination attracts low-balance, high-transaction consumers who generate interchange revenue but minimal net interest income, forcing institutions to scale deposit volume aggressively to offset foregone fees.

Option 2: Aggressive Discounting with Protections (Capitol Federal Model)

Target segment: Price-sensitive consumers with established banking relationships **Revenue model:** Reduced per-occurrence fees, higher volume acceptance **Risk profile:** Moderate revenue loss, reduced regulatory and reputational risk

Institutions charging $12.00 overdraft fees with $30.00 waiver thresholds generate 43% of median Kansas revenue per occurrence ($12.00 vs. $28.00) but reduce fee volume through waivers and daily caps. A consumer generating 10 overdraft fees annually under median pricing ($280 revenue) generates approximately:

- $120 revenue under $12.00 pricing (assuming no waivers)
- $60–$90 revenue with 50% waiver rate for sub-$30.00 overdrafts

This model requires 2.5–4× overdraft volume to match median revenue, achievable only by retaining high-frequency overdraft users who would otherwise churn to fee-free alternatives.

Option 3: Pricing Convergence and Service Bundling

Target segment: Mass-market consumers, small business depositors **Revenue model:** Maintenance fees, transaction fees, ancillary service charges **Risk profile:** Low differentiation, margin erosion as competitors reduce fees

Kansas institutions pricing at $28.00–$30.00 (64% of reporting institutions) compete on service, branch access, and bundled product offerings rather than fee pricing. This cohort must differentiate through:

- Free overdraft protection transfers ($2.00 fee at Capitol Federal vs. $5.00 Kansas median for OD protection transfer)
- Higher daily caps ($130.00 Kansas median vs. $120.00 at Capitol Federal)
- Account tier structures with fee waivers for high-balance customers

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